

'INFLATION IS TEMPORARY; THE ECONOMY WILL IMPROVE SOON'



PHOTO BY RAJWANT RAWAT

EVEN AS THE GLOBAL and Indian economies face headwinds, the government and the RBI are struggling to control inflation and push growth in India. **Rajat Mishra** caught up with Minister of State for Finance Pankaj Chaudhary to understand the government's strategy. Edited excerpts:

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On the state of the economy

The impact of the ongoing Russia-Ukraine crisis is visible on the whole world and India is no different. India is also feeling the heat because of the geopolitical tensions. The supply chain disruption induced by the ongoing geopolitical

tensions has pushed retail and wholesale inflation in the country. I am sure that this elevated inflationary pressure is temporary and things will improve very soon. We have also entered into an agreement to buy cheaper oil from Russia. I am sure the whole world will come out of this crisis very soon.

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On inflation

There is no denying that inflation is a subject of worry, but in India, inflation is also seasonal. Apart from that, as I already said, the Russia-Ukraine crisis is having its impact. The government has taken a flurry of steps to tame

inflation—reduced excise duty on petroleum products not once but twice, capped exports of certain things, and also increased the import of certain commodities to improve the demand and supply mismatch situation in the economy.

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On growth forecast

As of now, India's economy is one of the fastest growing across the world. Our economy reached the pre-pandemic level faster than other economies. That shows the resilience of the Indian economy. I am telling you that due to the steps taken by the finance minister, our economy is improving very fast.

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On post-pandemic recovery

The Indian economy has witnessed a V-shaped recovery post-pandemic. Now we have reached the pre-pandemic level of GDP. Also, we witnessed record high levels of exports. Indirect and direct tax collections have been very good; electricity and fuel consumption are also rising. In terms of attracting FDI, we are amongst the top 10 countries. All this shows that post-pandemic recovery has been quite fast. India attracted record FDI in the past eight years and we will attract even more in the coming years. **BT**

ports could collapse and growth would get impacted.

Garg, who dubbed net taxes and subsidies as the third important component of the GDP, sees India's poorly managed subsidies as a downside risk for GDP growth. "Tax growth last year was very good. But the government has expanded subsidies massively. So, fertiliser subsidies, food subsidies and, now, petroleum subsidies have come back. So, if you handle your subsidies in a loose manner, your taxation policies are also unlikely to keep the mo-

mentum. I see net taxes turning worse from the growth perspective this year," he says. Even Gulati of ICRIER flags the issue of loose management of subsidy: "The ₹3 lakh crore of subsidies will be an extra expenditure over and above the budgeted amount. There is no visibility of how this amount would be raised. So you raise it at one end and tax at another end." **BT**

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